

Section 125 Compliance Test



Compliance Test Summary:				<u>Current</u>	<u>Proposed</u>
25% Key Employee Test:				In Compliance (0.00%)	In Compliance (0.00%)
55% Average Benefits Test:				In Compliance (100.00%)	In Compliance (100.00%)
25% Owners Test:				In Compliance (0.00%)	In Compliance (0.00%)

EmpNo	Name	Transaction Period	Category	Current Per Pay	Proposed Per Pay	Quarter 1	Quarter 2	Quarter 3	Quarter 4	Year-to-Date
59	Adams, Torey L xxx-xx-3743									
	Unreimbursed Medical	01/01/2019 to 12/31/2019	Pre-Tax	101.92	101.92	611.52	713.44	611.52	203.84	2,140.32
	Total			101.92	101.92	611.52	713.44	611.52	203.84	2,140.32
50	Clarcq, Sharon R xxx-xx-5580									
	Dental	01/01/2019 to 12/31/2019	Pre-Tax	14.03	14.03	84.18	98.21	84.18	28.06	294.63
	Total			14.03	14.03	84.18	98.21	84.18	28.06	294.63
58	Dillman, Edward xxx-xx-8244									
	Unreimbursed Medical	01/01/2019 to 12/31/2019	Pre-Tax	30.77	30.77	184.62	215.39	184.62	61.54	646.17
	Total			30.77	30.77	184.62	215.39	184.62	61.54	646.17
68	Johnson, Stevenson xxx-xx-0883									
	Unreimbursed Medical	01/01/2019 to 04/12/2019	Pre-Tax	44.23	44.23	259.62	88.46	0.00	0.00	348.08
	Total			0.00	0.00	259.62	88.46	0.00	0.00	348.08
81	Plotkin, Vera xxx-xx-8676									
	Health	01/01/2019 to Present	Pre-Tax	0.00	0.00	504.72	588.84	504.72	168.24	1,766.52
	Dental	01/01/2019 to 12/31/2019	Pre-Tax	14.46	14.46	86.76	101.22	86.76	28.92	303.66
	Total			14.46	14.46	591.48	690.06	591.48	197.16	2,070.18
730	Robinson, Mark D xxx-xx-3991									
	Health	07/22/2019 to 12/31/2019	Pre-Tax	114.66	114.66	0.00	0.00	573.30	229.32	802.62
	Total			114.66	114.66	0.00	0.00	573.30	229.32	802.62
67	Shields, George R xxx-xx-0898									
	Dental	01/01/2019 to 02/19/2019	Pre-Tax	50.09	50.09					
	Dental	02/20/2019 to 12/31/2019	Pre-Tax	34.68	34.68	208.08	242.76	208.08	69.36	728.28
	Total			34.68	34.68	208.08	242.76	208.08	69.36	728.28

Branch/Client: 0027-0827G139 The KL Group Inc
Organization Type: S-CORP
Plan Effective Date: 01/20/2006
Plan Year of Test: 2019

Section 125 Compliance Test

PAYCHEX

EmpNo	Name	Social Security No.	Transaction Period	Category	Current Per Pay	Proposed Per Pay	Quarter 1	Quarter 2	Quarter 3	Quarter 4	Year-to-Date
66	Spatola Jr, Robert F	xxx-xx-6316									
	Dependent Care	01/01/2019 to 06/28/2019	Pre-Tax		192.31	192.31	1,153.86	1,346.17	96.15	0.00	2,596.18
	Unreimbursed Medical	01/01/2019 to 06/28/2019	Pre-Tax		20.00	20.00	120.00	140.00	10.00	0.00	270.00
	Total				0.00	0.00	1,273.86	1,486.17	106.15	0.00	2,866.18
	Total for all Employees:				310.52	310.52	3,213.36	3,534.49	2,359.33	789.28	9,896.46

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55% Average Benefits Test:	In Compliance (100.00%)	In Compliance (100.00%)
25% Owners Test:	In Compliance (0.00%)	In Compliance (0.00%)

25% Key Employee Test

The non-taxable benefits provided to key employees must not exceed 25% of such benefits provided to all employees under the plan. The summary below provides the contributions of Key and non-Key employees. Please refer to the Section 125 Plan Administration Instructional Packet for more details.

			<u>Current</u>	<u>Proposed</u>
YTD Key Contributions:		Year-End Estimate Key Contributions:		
YTD Non-Key Contributions:	9,896.46	Year-End Estimate Non-Key Contributions:	11,449.06	11,449.06

55% Average Benefits Test

The average Dependent Care benefits provided to all non-HCE's must equal or exceed 55% of the average Dependent Care benefits received by the HCE's. The summary below provides the contributions of HCE and non-HCE employees. Please refer to the Section 125 Plan Administration Instructional Packet for more details.

				<u>Current</u>	<u>Proposed</u>		
Number of HCEs:	1	YTD HCE Contributions:	0.00	Year-End Estimate HCE Contributions:	0.00	0.00	Maximum Average HCE Contribution: 181.55
Number of NHCEs:	26	YTD NHCE Contributions:	2,596.18	Year-End Estimate NHCE Contributions:	2,596.18	2,596.18	Average NHCE Contribution: 99.85

HCE = Highly Compensated Employee

NHCE = Non-Highly Compensated Employee

25% Owners Test

The Dependent Care benefits provided to Owners must not exceed 25% of the Dependent Care benefits received by non-Owners. The summary below provides the contributions of Owners and non-Owners. Please refer to the Section 125 Plan Administration Instructional Packet for more details.

			<u>Current</u>	<u>Proposed</u>
YTD Owner Contributions:	0.00	Year-End Estimate Owner Contributions:	0.00	0.00
YTD Non-Owner Contributions:	2,596.18	Year-End Estimate Non-Owner Contributions:	2,596.18	2,596.18